

PONDICHERRY UNIVERSITY
RAMANUJAN SCHOOL OF MATHEMATICAL SCIENCES
DEPARTMENT OF STATISTICS



M.Sc. QUANTITATIVE FINANCE
MSQF 535: Global Financial Management
LECTURE NOTES ON
Global Financial Management

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Course Objectives:

- *The aim of this course is to provide an understanding of the fundamental concepts and managerial issues pertaining to international finance.*

Course Outcomes (COs):

- CO1: Understand the global financial landscape:** Comprehend the roles and functions of international financial institutions and development banks like the World Bank, IMF, and ADB, as well as the process of internationalization.
- CO2: Analyze foreign exchange markets and rates:** Explain the mechanisms of the foreign exchange market, including spot and forward markets, cross-rates, bid-ask spreads, and apply theories determining exchange rates.
- CO3: Manage foreign exchange exposure:** Evaluate and manage various types of foreign exchange exposure (translation, transaction, and economic) using different methods and strategies.
- CO4: Assess multinational firm's financial management:** Analyze foreign direct investment decisions, cost of capital, capital structure, budgeting, cash management, country risk, and international taxation for multinational firms.
- CO5: Evaluate international financing operations:** Understand the characteristics and instruments of Eurocurrency markets, interest rate and currency swaps, depository receipts (GDR and ADR), and the implications of the Euro for India.

Unit-I: International Finance Overview & Institutions

International Finance — overview — International Financial Institutions/Development Banks — World Bank — IBRD — IDA — IFC — MIGA — International Monetary Fund — Special Drawing Rights — Asian Development Bank — Internationalization process.

Unit-II: The Foreign Exchange Market

The Foreign Exchange Market — SWIFT — Arbitrage — Spot market — Forward market — Cross rates of exchange — Bid — Ask spreads — Balance of payments — Foreign exchange rates — Theories of Foreign Exchange Rate.

Unit-III: Foreign Exchange Exposure and Management

Foreign exchange exposure and management — Management of translation exposure — Methods — Management of transaction exposure — Management of economic exposure — Methods — Strategies.

Unit-IV: Financial Management of the Multinational Firm

Financial Management of the Multinational Firm — Foreign direct investment — Cost of capital and capital structure of the multinational firm — Multinational capital budgeting — Multinational cash management — Country Risk Analysis — International Taxation.

Unit-V: Financing Foreign Operations

Financing Foreign Operations — Eurocurrency markets — Instruments — Interest rate swaps — Currency swaps and its pricing — Depository receipts — GDR and ADR — Euro and its implications for India.

Books for References:

1. Buckley, A. (1992): *Multinational Finance*, Prentice Hall, New Jersey.
2. Levich, R. M. (2001): *International Financial Markets: Prices and Policies*, McGraw Hill, New York.
3. Vij, M. (2001): *Multinational Financial Management*, Excel Books, New Delhi.
4. Shapiro, A. C. (1996): *Multinational Financial Management*, Prentice Hall of India, New Delhi.
5. Apte, P. G. (1999): *International Financial Management*, Tata McGraw Hill Publishing Company Ltd.
6. Jain, P. K., et al. (1998): *International Financial Management*, Macmillan, New Delhi.
7. Eun, C. S., & Resnick, B. G. (2001): *International Financial Management*, Irwin McGraw Hill, Singapore.

COs	PO1	PO2	PO3	PO4	PO5
CO1	XXX	X	X	X	XX
CO2	XX	X	XX	X	X
CO3	X	XX	XX	X	X
CO4	XX	X	XX	XX	X
CO5	XXX	X	X	XX	XX

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Chapter 1

International Finance

1.1 International Financial Institutions

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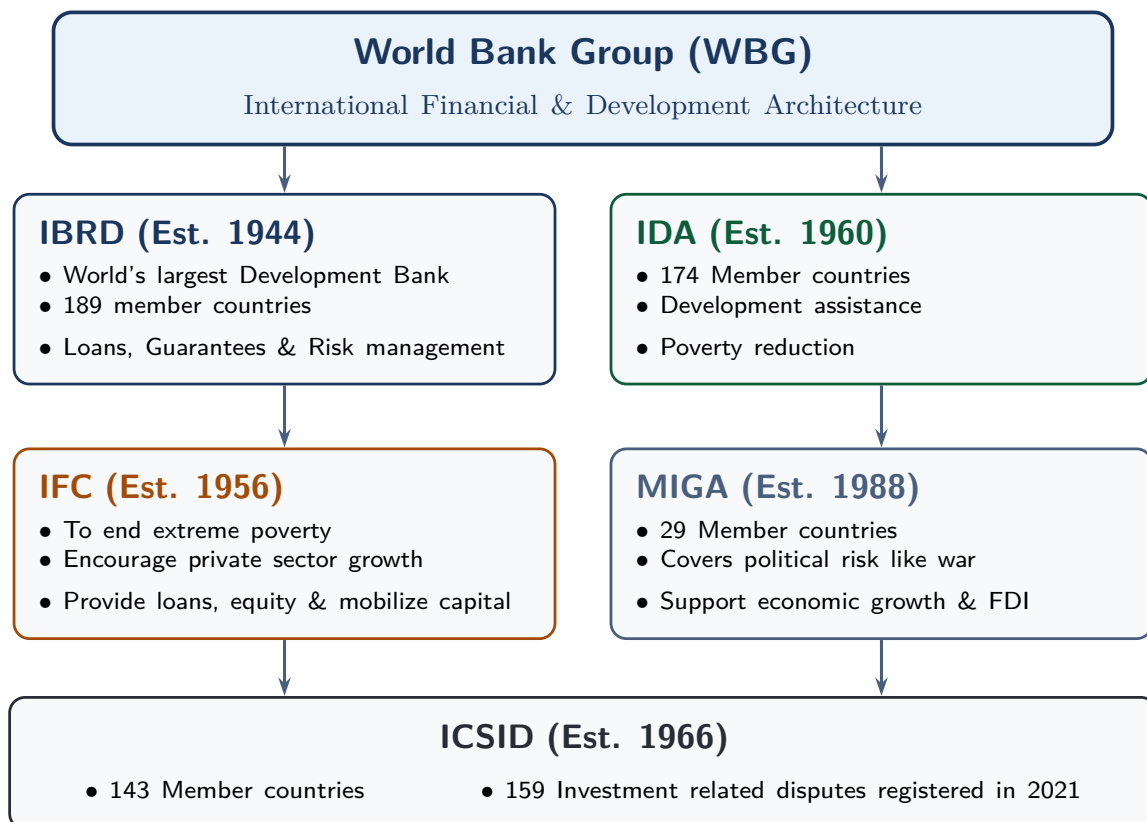


Figure 1.1: Constituent Institutions of the World Bank Group

1.1.1 1. IBRD (International Bank for Reconstruction and Development)

Institutional Profile: IBRD

- World's largest Development Bank.
- **Membership:** 189 countries member in this organisation.

Mission:

- Providing loans.

- Guarantee, Risk management products, advisory services for middle income and credit worthy and low income countries.
- Coordination responses to regional and global challenges.

1.1.2 2. IDA (International Development Association)

Institutional Profile: IDA

- **Established:** Formed in 1960.
- **Purpose:** Development assistance and poverty reduction.
- **Membership:** 174 Member of countries.

1.1.3 3. IFC (International Finance Corporation)

Institutional Profile: IFC

- **Established:** Established on 1956.

Mission:

- To end extreme poverty.
- To encourage private sector growth in developing countries.

Objective:

- **Investment money:** Provide loans and equity investment.
- **Mobilize capital:** Through commercial bank.
- **Provide advice:** Related to better policies, high environmental and social standards.

1.1.4 4. MIGA (Multilateral Investment Guarantee Agency)

Institutional Profile: MIGA

- **Established:** Established in 1988.
- **Membership:** 29 countries are member in this organisation.

Motives:

- MIGA covers political risk like war.

Objective:

- Support economic growth by encouraging FDI.
- Provides advisory services to help the developing countries.

1.1.5 5. ICSID (International Centre for Settlement of Investment Disputes)

Institutional Profile: ICSID

- **Established:** Established on 1966.
- **Membership:** It had 143 Member countries.
- **Disputes:** Total disputes registered on 2021, almost 159 investment related disputes.

1.2 World Bank: Operations, Funds, and Advisory Services

1.2.1 1. Area of Operation

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1. Agriculture and rural development
2. Economic policy
3. Education
4. Energy
5. Environment
6. Financial sector
7. Swift system
8. Health, nutrition
9. Information, telecommunication
10. Law and justice
11. Trade related issues
12. Social protection
13. Private sector
14. Trade
15. Water resource
16. Sanitation

1.2.2 2. Fund Related Operations

Fund Generation:

- IBRD
- IDA
- World Bank Treasury

Through Loans:

- Investment loans
- Development policy loans

Grants, Relief, and Targeted Initiatives:

- Provide grants
- Provide relief on debt
- For improving sanitation and water supply
- Support of vaccination or immunisation program
- HIV and AIDS pandemic
- Initiate to cut the green house effect

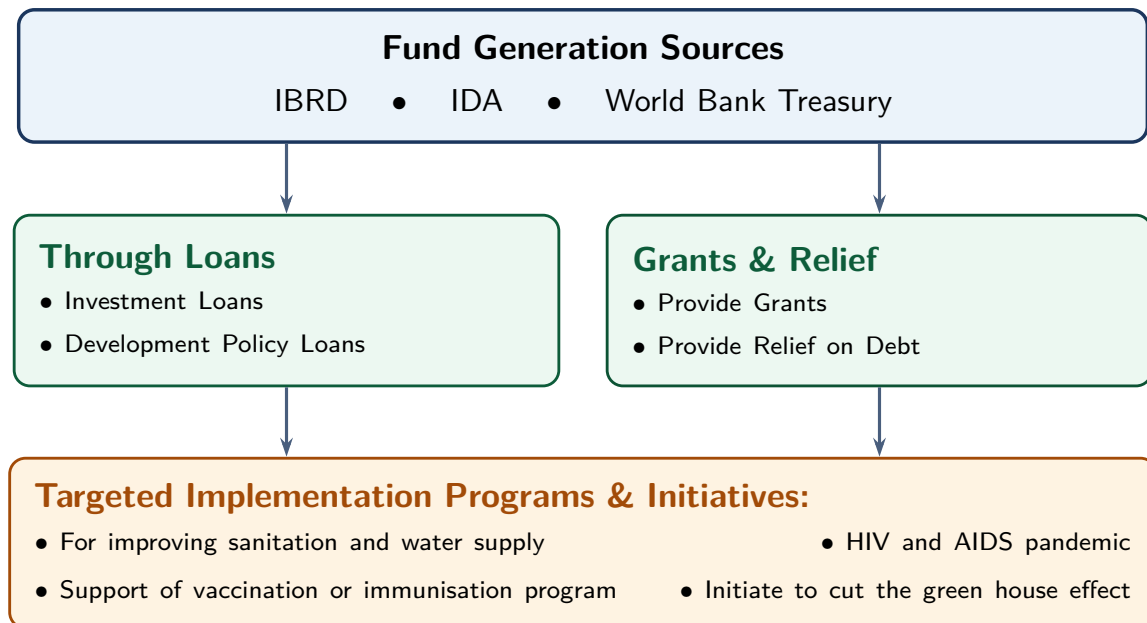


Figure 1.2: World Bank Fund Related Operations Flowchart

1.2.3 3. Analytics or Advisory Services

- Analytical support for poverty assessment
- Public expenditure reviews
- Country economic memoranda
- Social and structural reviews
- Sector reports
- Topics in development
- Capacity building
- Advisory service
- Global development learning network
- Global and regional programs

1.3 Governance and Bank Related Activities

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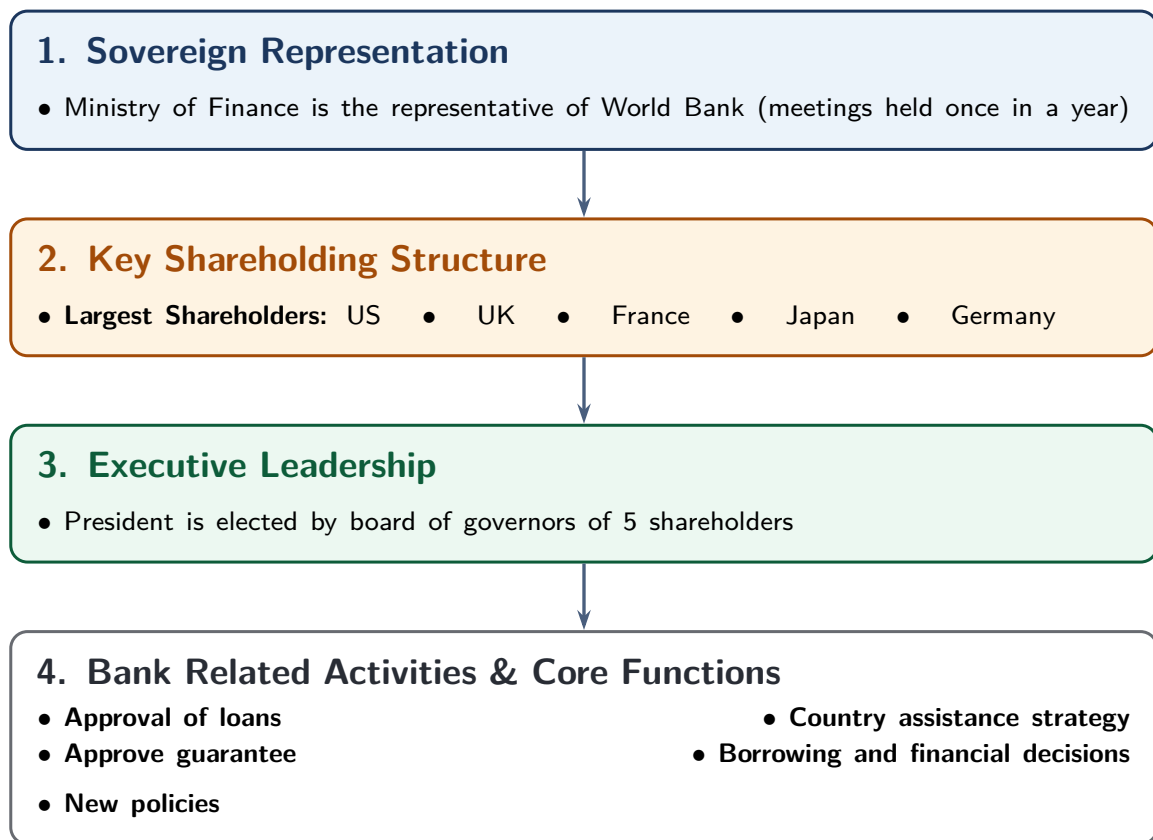


Figure 1.3: World Bank Governance Structure and Core Activities

1.3.1 1. Governance & Representation

- Ministry of finance is the representative of world bank held once in a year.
- Largest shareholder:** US, UK, France, Japan, Germany.
- President is elected by board of governors of 5 shareholders.

1.3.2 2. Bank Related Activities

- Approval of loans
- Approve guarantee
- New policies
- Country assistance strategy
- Borrowing and financial decisions